

# Fearnleys Dry Bulk Weekly

Oct 8, 2025



## Capesize/Newcastlemax

Last week we wrote *"The market is correcting, in line with usual seasonal developments. The share of profitable steel mills suggests that iron ore consumption in China is peaking, as it has fallen from close to 70% to about 58% over the last month. However, significant drops in consumption usually do not happen unless the share of profitable mills falls below 50%. Regarding the BHP story, there could be fewer cargoes than usual for a short period, but China buys approximately 250 million tons of BHP iron ore annually, out of a total of 1.2 billion tons. For that reason, the iron ore markets have not been spooked by the temporary ban, as China is dependant on BHP supply..."*

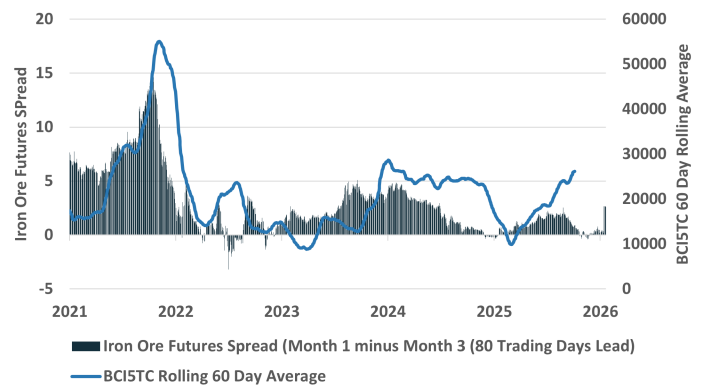
No data from China last week due to holidays. The key datapoint to follow is imported iron ore consumption, which has been stable at around 3 million tons per day since the start of May. Total iron ore inventories have barely changed since May as well. Prices have seen more significant swings, but as long as volumes are not impacted, it will not mean much for the Capesize market. The narrowing spread of near-month iron ore futures is something we have pointed to for a while that might lead to a weaker Q4 than Q3 (top right chart). Interestingly, the futures curve has turned more backwardated since the BHP news broke, so that indicator is now suggesting Q1 market strength following a weaker Q4. Otherwise there has been an unusual development in price spreads between various iron ore grades. Australian iron ore has weakened compared to lower grades (usually a bearish sign), but higher-grade Brazilian ores have increased in price relative to Australian ores.

Otherwise, the seasonal ramp-up in Bauxite shipments seems to have started (bottom left chart), which is bullish, but the share of the fleet in shipyards have decreased by over 1% over the last month, which could weigh on market levels.

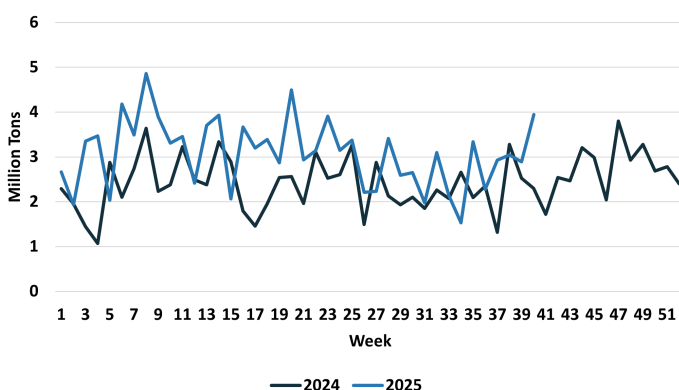
### Cape/Newc Share of Fleet in Shipyards



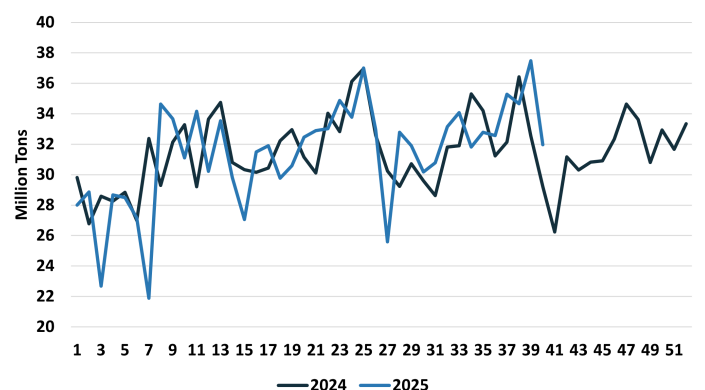
### Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



### Cape/Newc Weekly Bauxite Shipment Volumes 24 vs 25



### Cape/Newc Weekly Shipment Volumes 24 vs 25



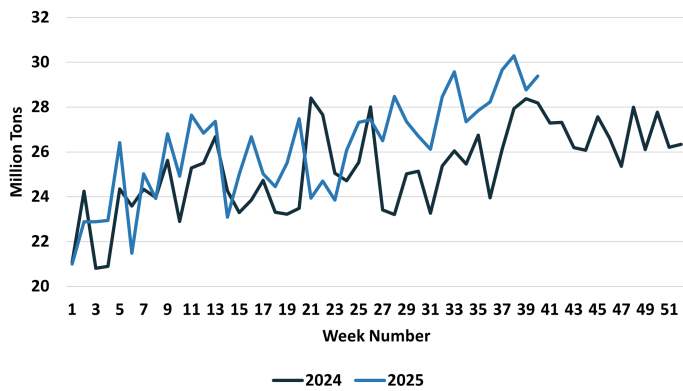
## Panamax/Kamsarmax

Last week we wrote: "P5 correcting slightly, as China's Golden Week have set in and coal buying slows down. The range-bound market seems to continue, as suggested for a while by the coal futures curves.

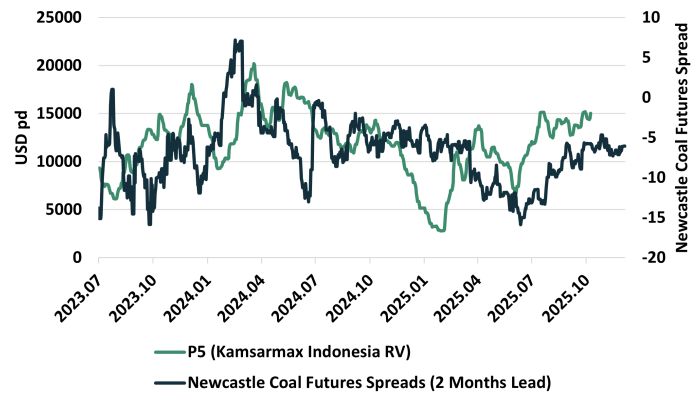
Vessel supply in the South Atlantic has tightened, so if volumes increase, the markets there could be in for a rebound. So far, there is no sign in AIS data that Argentina's temporary tax exemptions are leading to higher vessel demand, however. Further, US volumes remain substantially lower than the same period last year."

The South Atlantic seems to stabilize, so a rebound could be underway. The North-Atlantic looks a bit over-tonnaged, however, so that is where the main downside risk lies. The Ultramax market has started to weaken there. In the Pacific, the market looks resilient, and is suggested to remain so by the coal futures curve. Stable to firm outlook near-term for P5TC.

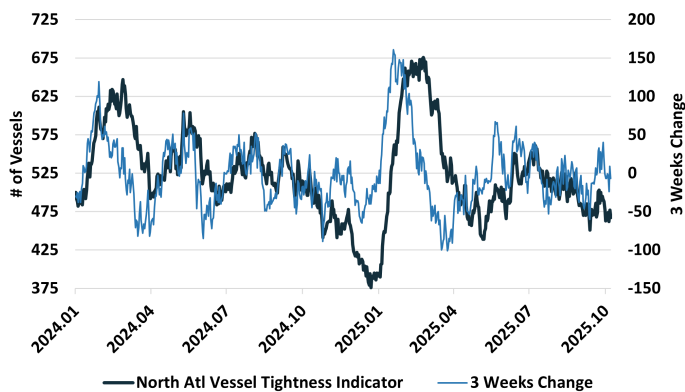
### Panamax / Kamsarmax Weekly Shipment Volumes 24 vs 25



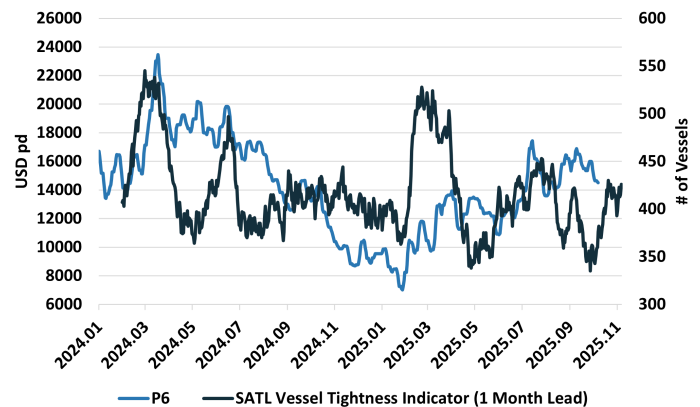
### P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



### North Atlantic Vessel Tightness Indicator



### South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



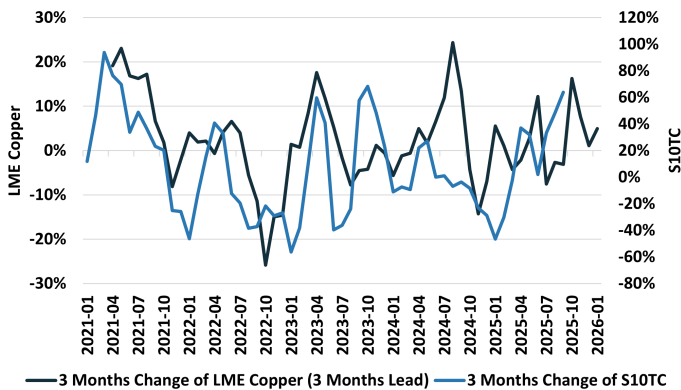


## Supramax/Ultramax

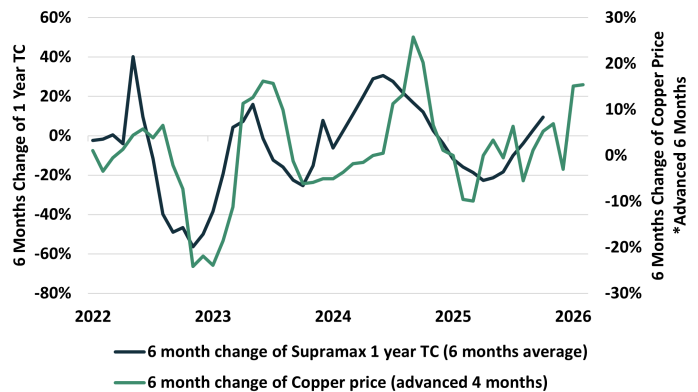
Last week, we wrote: *"The divergence between the Atlantic and the Pacific keeps getting more extreme. Most of the volumes are in the Pacific/Indian Ocean, and as the markets there soften, how long can the Atlantic continue to rise? There will be a sudden and sharp correction there eventually, but extremes can get more extreme. In late 2023, for example, S4A peaked at over 40kpd, whereas the Pacific was then at 13kpd. Currently, we are at 35kpd vs 15.5 kpd..."*

Sharp correction on several Atlantic routes in the last days. The S4A index could fall to the low 20.000s pd, as that would normalise the spread over Pacific rounds. We doubt Pacific indices will correct much further, as earnings are now similar to Kamsarmaxes, with the outlook there being firm/stable.

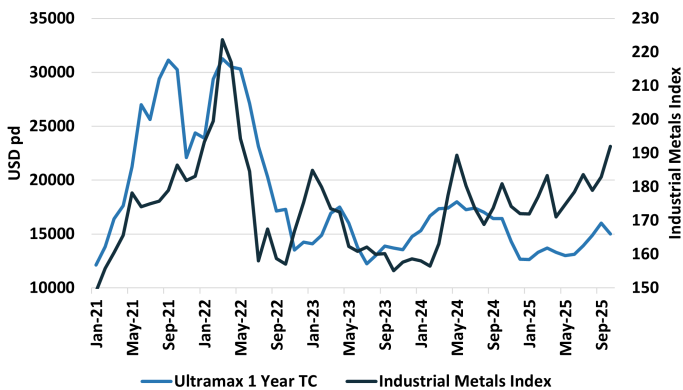
### Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



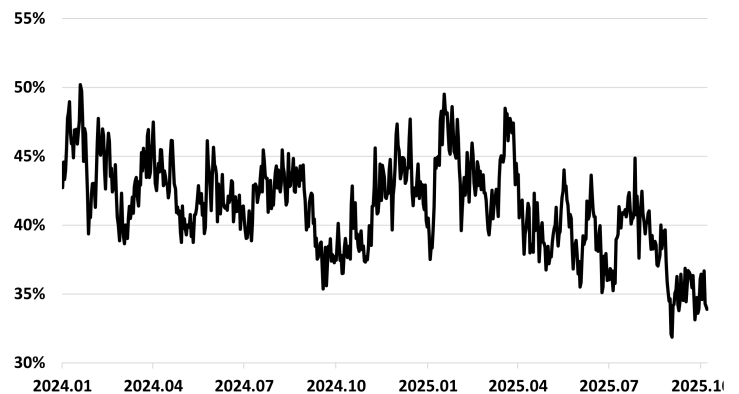
### Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



### Industrial Metals Index vs Ultramax 1 Year TC



### Supra/Ultra Ballaster/Laden Vessel Ratio





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### Fearnleys AS

Dronning Eufemias gate 8  
0191 Oslo  
Norway  
+47 22 93 60 00

An Astrup Fearnley Company